ECO7101
Sample questions for quiz3
Monopoly Market

Define monopoly market structure
A theory of market structure based on three assumptions: There is one seller, it sells a product that has no close substitutes and the barriers to entry are extremely high.
Why does a monopolist face little or no competition?
Because there are no close substitutes for its product, the single seller—the monopolist or monopoly firm—faces little or no competition.

What is public franchise?
A public franchise is a right that government grants to a firm and that permits the firm to provide a particular good or service and excludes all others from doing so.

Why economies of scale act as a barrier to entry?
Economies of scale in some industries, low average total costs (low unit costs) are obtained only through large-scale production. Thus, if new entrants are to compete in the industry, they must enter it on a large scale. But having to produce on this scale is risky and costly, and it therefore acts as a barrier to entry.

Distinguish between legal monopoly and market monopoly.
Some economists use the term "government monopoly" to refer to a monopoly that is legally protected from competition and the term "market monopoly" to refer to a monopoly that is not legally protected from competition but because economies of scale.

Why is monopolist's demand curve downward sloping?
Because of
(a) Monopoly is a single seller and itself an industry.
(b) It has market power by which it can influence price.

Why does monopolist MR curve lie below the demand curve?
The demand curve plots price against quantity. The marginal revenue curve plots marginal revenue against quantity. For a monopolist, P > MR, so the marginal revenue curve must lie below the demand curve.

Why does a monopolist incur economic loss?

A monopolist cannot charge any price it wants for its good—only the highest price that the demand curve allows it to charge. In some instances, the highest price may be lower than the firm's average total costs (unit costs). If so the monopolist incurs a loss.

When profit maximization is the same as revenue maximization?
Only when there are no variable costs (i.e., when TVC = 0).
What do you mean by rent seeking?
Actions of individuals and groups that spend resources to influence public policy in the hope of redistributing (transferring) income to themselves from others is known as rent seeking.
What do you mean by deadweight loss of monopoly?
The net value (the value to buyers over and above the costs to suppliers) of the difference between the competitive quantity of output (where P = MC) and the monopoly quantity of output (where P > MC); the loss due to not producing the competitive quantity of output.
What do you mean by price discrimination?
A price structure in which the seller charges different prices for the product it sells and the price differences do not reflect cost differences.
What do you mean by first degree or perfect price discrimination?
A price structure in which the seller charges the highest price that each consumer is willing to pay for the product rather than go without it.

What do you mean by second-degree price discrimination?
A price structure in which the seller charges a uniform price per unit for one specific quantity, a lower price for an additional quantity, and so on.

What do you mean by third-degree price discrimination?
A price structure in which the seller charges different prices in different markets or charges different prices to various segments of the buying population.

Chapter 24
Monopolistic and Oligopoly Markets

What do you mean by monopolistic competition?

A theory of market structure based on three assumptions: many sellers and buyers, firms producing and selling slightly differentiated products, and easy entry and exit.

What do you mean by product differentiation?

Differences among the products may be due to brand names, packaging, location, credit terms connected with the sale of the product, the friendliness of the salespeople, and so forth. Product differentiation may be real or imagined.

The monopolistic competitor, like the perfectly competitive firm, has many rivals. Does it mean they are same?

The monopolistic competitor's rivals do not sell exactly the same product that the competitive rivals sell. Because its product has substitutes, but not perfect ones, the elasticity of demand for the monopolistic competitor's product is not as great as that of the perfectly competitive firm.

Does monopolistic firm in the long-run make economic profit?

Because of easy entry into the industry, there are likely to be zero economic profits in the long run for a monopolistic competitor. In other words, P = A TC.

What do you mean by the excess capacity theorem?

A monopolistic competitor in equilibrium produces an output smaller than the one that would minimize its costs of production.

Why a monopolistic firm does not produce capacity output in the long-run?

Monopolistic firm does not produce capacity output in the long-run to charge higher price.

Why monopolistic firm is inefficient in the short-run and in the long-run?

Monopolistic firm is allocative inefficient in the short-run because P > MC. It is productive inefficient in the long-run because it does not produce capacity output.

Oligopoly Market

What do you mean by the oligopoly market structure?

A theory of market structure based on three assumptions: few sellers and many buyers, firms produce either homogeneous or differentiated products and there exists significant barriers to entry.

What do you mean by concentration ratio

The percentage of industry sales (or assets, output, labor force, or some other factor) accounted for by x number of firms in the industry.

What do you mean by cartel theory?

A cartel theory of oligopoly is a theory in which oligopolistic firms act as only one firm in the industry.

What do you mean by a cartel?

Cartel is an organization of firms that reduces output and increases price in an effort to increase joint profits.

Why does kink arise in the kinked demand curve model of oligopoly?

If an oligopoly firm reduces price others immediately reduce price but if a firm increases price others do not respond. That's kink arise in the kinked demand curve model.

Chapter 26
Factor Market

Why the demand for factors is a derived demand?

The demand for factors is a derived demand; that is, it is derived from, and directly related to, the demand for the product that the resources go to produce. If the demand for the product rises, so does the demand for the factors that go into the making of the product. If the demand for the product falls, so does the demand for the factors.

What do you mean by marginal revenue product (MRP)?

The additional revenue generated by employing an additional factor unit.

Why does MRP decline irrespective of the nature of market?

MRP decreases in competitive market due to the law of diminishing marginal return for which marginal product (MP) decline. MRP declines in imperfect market as marginal revenue (MR) declines.

What is the relationship between marginal revenue product (MRP) and value of marginal product (VMP) in perfect and imperfect markets?

In competitive market, MRP =VMP and in imperfect market, VMP > MRP.

Why MRP curve is the factor demand curve?

The relationship between MRP and quantity of factors is inverse relationship. The same relationship holds between price of factor and quantity of factors. That's' why MRP curve is the factor demand curve.

What do you mean by marginal factor cost (MFC)?

The additional cost incurred by employing an additional factor unit.

$$MFC = \frac{\Delta TC}{\Delta \text{Quantity of the factor}}$$

Draw a diagram to show factor market equilibrium